LIMURU TEA PLC.

Limuru Tea Office
off Nazareth Hospital Road,
P.O Box 1
Limuru, Kiambu
Telephone: 0722307394/5

ANNOUNCEMENT OF UNAUDITED RESULTS FOR THE SIX MONTHS ENDED 30TH JUNE 2023.

The Board of Directors is pleased to announce the company's unaudited results for the Six months ended 30th June 2023.

STATEMENT OF FINANCIAL POSITION		
	As at 30 June 2023	As at 31 December 2022
	KShs'000	KShs'000
EQUITY		
Share capital	24,000	24,000
Retained earnings	165,280	170,187
Total equity	**189,280**	**194,187**
Non-current liabilities		
Post-employment benefit obligations	20,713	17,938
Deferred income tax liability	-	330
Total non-current liabilities	20,713	18,268
	209,993	**212,455**
REPRESENTED BY:		
Non-current assets		
Property, Plant and Equipment	84,831	86,452
Biological assets – fuel trees	5,293	5,293
Deferred Tax Asset	3,448	-
Total non-current assets	**93,572**	**91,745**
Current assets		
Biological asset - green leaf	5,086	5,086
Current income tax recoverable	9,667	9,051
Receivables and prepayments	120,776	123,432
Cash and cash equivalents	1,087	271
Total current assets	**136,616**	**137,840**
Current liabilities		
Payables and accrued expenses	20,195	16,341
Post-employment benefit obligations	-	789
Total current liabilities	**20,195**	**17,130**
Net current assets	**116,421**	**120,710**
	209,993	**212,455**

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CONDENSED STATEMENT OF CASH FLOWS

	As at June 2023 KShs'000	As at June 2022 KShs'000
Net cash (used)/from operating activities	6,816	(334)
Net cash used in investing activities	-	-
Net cash used in financing activities	(6,000)	
(Decrease)/increase in cash and cash equivalents	**816**	**(334)**
Movement in cash and cash equivalents		
At start of interim period	271	364
(Decrease)/increase during the period	816	(334)
At end of June	**1,087**	**30**

CONDENSED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

	June 2023 KShs'000	June 2022 KShs'000
Turnover	61,558	66,261
Profit/(loss) before income tax	(2,459)	6,428
Income tax charge	3,551	(511)
Profit/(loss) attributable to the shareholders	**1,092**	**5,917**
Authorized, Issued and fully paid shares of KShs 10 each	**2,400,000**	**2,400,000**
Earnings per share (KShs)	**0.46**	**2.47**

CONDENSED STATEMENT OF CHANGES IN EQUITY

	Share Capital KShs'000	Retained Earnings KShs'000	Proposed Dividend KShs'000	Total KShs'000
Balance at 1 January 2022	**24,000**	**158,290**	-	**182,290**
Total recognized loss to June 2022	-	5,917	-	5,917
Balance as at 30th June 2022	**24,000**	**164,207**	-	**188,207**
Balance at 1 January 2023	**24,000**	**164,188**		**188,188**
Total recognized profit for 2023		1,092		1,092
Balance as at 30th June 2023	**24,000**	**165,280**		**189,280**

Directors: Dorcas Muli; Sarah Mbwaya; Felgona Omollo; Gerridina. Ten Den*; Samson Korir *Dutch

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COMMENTARY

Performance

In the first half of 2023, total revenues decreased by 7% to Kes 61.6 million compared to Kes 66.3 million realised in the same period of 2022. This decrease in the first half of 2023 is driven by adverse weather conditions experienced during the first quarter of the year.

The Company produced 1,429 tons of green leaf, which in turn were manufactured into 328 tons of black tea. This was a 19% decrease in made tea volumes compared to the first half of 2022.

The company posted a pre-tax loss of Kes 2.4 million in the first half of 2023 compared to a pre-tax profit of Kes 6.4 million in 2022. This decline in performance is driven by the lower crop realised compared to the same period in 2022. Inflation on key material costs pushed up the cost quite significantly however management put in place cost efficiency programs to mitigate the impact.

Dividend

The Directors do not recommend an interim dividend.

Prospects

The first half of 2023 has experienced relatively lower rainfall which has negatively impacted tea production. Price inflation of key inputs has also unfavourably affected the cost profile. There has been a Market price decline in first half of the year although this has been cushioned by favourable foreign exchange gain. This market outlook trend is expected to continue for the remaining part of the year. The management will keep undertaking strategic cost efficiencies and quality improvement initiatives to ensure the Company maximizes on returns.

Ms. Dorcas Muli

Dorcas
Dorcas (Aug 25, 2023 15:37 GMT+3)

CHAIRPERSON
25th August 2023

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